

In retrospect, just looking at the results in Table 6.8, this looks like another success year. And sure, you got paid quite well and probably had some well-deserved champagne at the end of the year, but it was not an easy year. But, of course, even though you probably didn't sleep much during the first half of the year, things worked out in the end. You scored another victory, cashed in on over US\$600,000 for yourself and your investors made two and a quarter million dollars net profits. From when they first entrusted you with managing US\$10 million, they now have nearly an additional five million in their pockets.

To give you a sense of the actual money growth, I have assumed in this chapter that there are no money flows in or out of your new fund. No new investments coming in and no redemptions going out. You started out with US\$10 million, as mentioned earlier, and this is the money that you have to manage. After two years, over a million of this pot has become yours, while the pot after those fees has grown to close to US\$15 million. Not too bad so far.

■ 2004

So far it looks like we had amazing luck with the launch of our fund. The first two years were stressful but returned substantial money, both for the investors and for you as a manager of their assets. We start out our third year with a heavy exposure to equities, which shouldn't be a surprise to anyone knowing their market history. After the markets turned for the upside in 2003, trend followers built up a significant long exposure. We're now also heavily into long metals and energies, but there's not much rates positions in the portfolio.

The recovery rally in the stock markets is still ongoing and we should be well positioned to take advantage of further advances. The long equity index positions we have on are spread across all major geographical regions, including Europe and Asia (Tables 6.9 and 6.10, and Figure 6.13). This bull market wasn't limited to the United States and our investment universe is diversified to cover all major markets.

This year was yet another difficult experience. In Chapter 5, you saw long-term graphs of the performance of our trend-following strategy over decades. It looks so easy, like such a nice, smooth ride to victory. That's what long-term charts do for you; obscure the shorter-term and the real-life experience. On such a long scale, you can barely see the little wiggles that were 2004.